

Endogenous growth



Investment in improved technologies such as automated production lines allows growth to continue in rich countries.

In early growth theories, economists assumed that the technological progress that helps generate long-run economic growth came from outside of the economy: growth was said to be 'exogenous'. In the mid-1980s, a new wave of theories argued that technology was generated by forces within the economy, and hence that growth was 'endogenous'.

Under the older approach, all countries have access to the same exogenous technology. Because extra capital investment has less of an impact the more capital a country has, growth slows down as countries develop, so poorer countries tend to catch up with richer ones. Endogenous theory weakens this conclusion – here, technology is recognized as coming from innovation that is influenced by economic incentives. New technology and knowledge produced by one firm can help the productivity of others. This can offset the diminishing impact of capital as

economies get richer, so growth doesn't necessarily have to slow down.